METHODOLOGY DOCUMENT
MSCI SUSTAINABILITY AND CLIMATE

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MSCI ESG Ratings Methodology: Consumer Financial Protection Key Issue

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Introduction

This document provides essential information on the components of the Consumer Financial Protection Key Issue to enable users of ESG Ratings to understand how MSCI Sustainability & Climate ("MSCI S&C")[1] outputs are determined. Consumer Financial Protection is a Key Issue in the Social Pillar of the MSCI ESG Ratings model. Financial institutions are evaluated on product stewardship and transparency, including efforts to mitigate potential reputational and regulatory risks arising from unethical lending practices or mis-selling financial products to consumers.

For additional details on the MSCI ESG Ratings Model, refer to Section: Data, ratings and scores, of "ESG Ratings Methodology."

Exhibit 1: MSCI ESG Key Issue hierarchy

3 Pillars	10 Themes	33 ESG Key Issues
Environmental	Climate Change	Carbon Emissions
		Climate Change Vulnerability
		Financing Environmental Impact
		Product Carbon Footprint
	Natural Capital	Biodiversity & Land Use
		Raw Material Sourcing
		Water Stress
	Pollution & Waste	Electronic Waste
		Packaging Material & Waste
		Toxic Emissions & Waste
	Environmental Opportunities	Opportunities in Clean Tech
		Opportunities in Green Building
		Opportunities in Renewable Energy
Social	Human Capital	Health & Safety
		Human Capital Development
		Labor Management
		Supply Chain Labor Standards
	Product Liability	Chemical Safety
		Consumer Financial Protection
		Privacy & Data Security
		Product Safety & Quality
		Responsible Investment
	Stakeholder Opposition	Community Relations
		Controversial Sourcing
	Social Opportunities	Access to Finance
		Access to Health Care
		Opportunities in Nutrition & Health
Governance	Corporate Governance	Board

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3 Pillars	10 Themes	33 ESG Key Issues
		Pay
		Ownership & Control
		Accounting
	Corporate Behavior	Business Ethics
		Tax Transparency

Risks associated with this Key Issue

- Unanticipated credit losses due to non-transparent or unsustainable products.
- Loss of market access due to regulatory change.
- Increased costs from litigation or regulatory penalties.

Consumer Financial Protection Key Issue score

The Consumer Financial Protection Key Issue score evaluates the company's level of exposure to, and management of, risks on this Key Issue. The Key Issue score is based on the Exposure score and the Management score using the formula below. The Exposure score and the Management score are combined such that a higher level of exposure requires a higher level of demonstrated management capability in order to achieve the same overall Key Issue score.

$$KI_i = 7 - (\max(EXP_i, 2) - MGMT_i)$$

Where:

- KI_i is the Key Issue score for company i.
- EXP_i is the Exposure score for company i.
- $MGMT_i$ is the Management score for company i.

Consumer Financial Protection Management framework

The table below outlines the indicators mapped to their respective components that inform the Consumer Financial Protection Management score, excluding controversies. MSCI S&C assigns each indicator a default weight. Indicator weights may be adjusted at the company level to reflect the relevance of the indicator to the company's business activities. If a company has no exposure to the business activities covered by an indicator, the indicator is assigned a weight of zero.

Component	Sustainability Indicator
Debt collection policy	

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Consumer Financial Protection Practices score	Employee training on consumer financial protection
	Fair advertising policy
	Financial education initiatives and stakeholder outreach
	Company offers loan modification options
	Oversight of complaint resolution process
	Financial product complaint handling process
	Oversight of financial product or service reviews
	Evidence of offering high-risk lending products
Consumer Financial Protection Performance score	Complaints growth (three-year rolling average)

Consumer Financial Protection Management score

The Consumer Financial Protection Management score evaluates the company's ability to manage its exposure to risks on this Key Issue. It is based on weighted average of the score associated with each relevant indicator, modified by Controversies.

This score is derived from indicators that are scored on a 0-10 scale, with 10 corresponding to best practice. Refer to Section Analyzing risk management, of "ESG Ratings Methodology" for additional details. Sources are company disclosures except where otherwise indicated.

The following formula is used to calculate the Consumer Financial Protection Management score - Excluding Controversies:

$$MGMT_i = \sum Indicator_Score_{j,i} * Indicator_Weight_{j,i}$$

Where:

- $MGMT_i$ is the Management score - Excluding Controversies for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.

The following formula is used to calculate the scores for the components

$$COMP_{c,i} = \sum_{j \in c} Indicator_Score_{j,i} * Indicator_Weight_Scaled_{j,i}$$

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Where:

- $COMP_{c,i}$ is the component score for component c, for company i.
- $Indicator_Score_{j,i}$ is the score of indicator j for company i.
- $Indicator_Weight_Scaled_{j,i}$ is the scaled weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The following formula is used to calculate the weights for the components

$$COMP_Weight_{c,i} = \sum_{j \in c} Indicator_Weight_{j,i}$$

Where:

- $COMP_Weight_{c,i}$ is the component weight for component c for company i.
- $Indicator_Weight_{j,i}$ is the weight of indicator j for company i.
- $j \in c$ indicates that the summation is over all indicators belonging to component c.

The definitions of the data points in each component are given below:

Consumer Financial Protection Practices score

Assesses the company's ability to manage its exposure to risks related to product stewardship and transparency, including efforts to mitigate potential reputational and regulatory risks arising from unethical lending practices or mis-selling financial products to consumers. This score is a component of the Consumer Financial Protection Management score (excluding controversies) and considers attributes of the company's policies and initiatives. Expressed as a 0–10 score, where 10 indicates strong initiatives.

- **Debt collection policy**

Definition: Indicates whether the company has a formal debt collection policy supported by training of relevant employees.

- **Employee training on consumer financial protection**

Definition: The scope of employee training programs related to consumer financial protection, including financial literacy and ethical selling practices.

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- **Fair advertising policy**

Definition: Indicates whether the company has a policy on fair marketing practices supported by an oversight committee or training of relevant employees.

- **Financial education initiatives and stakeholder outreach**

Definition: The extent of programs to improve financial literacy, either through formal partnerships with financial education organizations, targeted initiatives for specific demographics or general outreach programs.

- **Company offers loan modification options**

Definition: Indicates whether loan modification options are available to retail customers, including income-based repayment plans and access to escalation options.

- **Oversight of complaint resolution process**

Definition: Indicates whether there is board-level oversight, management-level committee oversight, or a formal monitoring group for customer complaints.

- **Financial product complaint handling process**

Definition: Indicates whether the company has a formal process to handle customer complaints through a customer ombudsman, an internal complaint review body or a complaint hotline.

- **Oversight of financial product or service reviews**

Definition: Indicates whether there is board-level oversight, management-level committee oversight or another internal review body that is responsible for reviewing products and services.

- **Evidence of offering high-risk lending products**

Definition: Indicates whether there is evidence the company offers high-risk lending products. High risk lending products includes, but is not limited to, payday, pawn, doorstep, title, logbook, tax refund anticipation, and loans with predatory interest rates or fees.

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Consumer Financial Protection Performance score

Assesses the company's performance on consumer financial protection metrics (including complaints growth) relative to its peers. Expressed as a 0–10 score, where 10 indicates strong performance.

- **Complaints growth (three-year rolling average)**

Definition: Indicates whether the customer complaints against the company are increasing, stable, or decreasing based on a three-year rolling average.

Treatment of covered bonds issuers

For institutions that are exclusively refinancing vehicles for multiple loan originators via the issuance of covered bonds, the Consumer Financial Protection Practices score and Performance score, which compose the Consumer Financial Protection Management score, are calculated through a "market standard" approach. It is computed as the average scores of loan-originating credit institutions with an MSCI ESG Rating in the same domicile country. For refinancing vehicles with a single loan originator, ESG assessments are mapped to the originator.

The definitions of the data points in each component are given below:

- **Consumer financial protection practices score for covered bond issuers**

Definition: Indicates the strength of consumer financial protection practices relevant to the assets in the cover pool, proxied by the average practices of loan originators in the country of domicile. Expressed as a 0–10 score, where 10 indicates strong practices.

- **Consumer financial protection performance score for covered bond issuers**

Definition: Indicates performance on consumer financial protection metrics relevant to the assets in the cover pool, proxied by the average performance of loan originators in the country of domicile. Expressed as a 0–10 score, where 10 indicates strong performance.

Controversies

A controversy deduction ranging from 0 to 5 points is subtracted from the overall Management score based on the severity, status, and the company's role in the controversies facing the company on this Key Issue. The following categories of controversies are used in the assessment.

- Product safety controversies

For more details on how controversies are included in the MSCI ESG Ratings model, refer to Section: Controversies cases, of "ESG Ratings Methodology."

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Consumer Financial Protection Exposure score

The Consumer Financial Protection Exposure score evaluates the company's exposure to risks on this Key Issue. As these risks are considered broadly similar in nature and comparable in their level of relevance across markets, business models, and customer segments, all companies are assigned a default exposure score. The default score is 7 on a 0-10 scale, where 10 represents the highest level of risk exposure and 0 the lowest. Refer to the Analyzing risk exposure section of "ESG Ratings Methodology" for additional details.

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